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Intercontinental Exchange, Inc. (ICE)

Q1 2023 Earnings Call

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MANAGEMENT DISCUSSION SECTION

Operator: Hello, and welcome to the ICE First Quarter 2023 Earnings Conference Call and Webcast. My name is Lauren, and I will be coordinating your call today. [Operator Instructions]

I will now hand you over to your host, Katia Gonzalez, Manager of Investor Relations. Please go ahead.

Katia Gonzalez

Investor Relations, Intercontinental Exchange, Inc.

Good morning. ICE's first quarter 2023 earnings release and presentation can be found in the Investor section of the ice.com. These items will be archived, and our call will be available for replay.

Today's call may contain forward-looking statements. These statements, which we undertake no obligation to update, represent our current judgment and are subject to risks, assumptions and uncertainties.

For a description of the risks that could cause our results to differ materially from those described in forward-looking statements, please refer to our 2023 Form 10-Q and other filings with the SEC. In addition, as we announced last year, ICE has agreed to acquire Black Knight. The transaction is still pending regulatory approval, and we expect to close in the second half of this year.

In connection with the proposed transaction, ICE has filed with the SEC a registration statement on Form S-4 to register the shares of ICE common stock to be issued in connection with the transaction. The registration

statement includes a proxy statement of Black Knight that also constitutes a prospectus of ICE. Please see the Form S-4 filing for additional information regarding the transaction.

In our earnings supplement, we refer to certain non-GAAP measures. We believe our non-GAAP measures are more reflective of our cash operations and core business performance. You'll find a reconciliation to the equivalent GAAP terms in the earnings materials.

When used on this call, net revenue refers to revenue net of transaction-based expenses, and adjusted earnings refers to adjusted diluted earnings per share. Throughout this presentation, unless otherwise indicated, references to revenue growth are on a constant currency basis. Please see the explanatory notes on the second page of the earnings supplement for additional details regarding the definition of certain items.

While Lynn is not able to join today's call, as she's participating in a large IPO being conducted at the NYSE, with us on the call are Jeff Sprecher, Chair and CEO; Warren Gardiner, Chief Financial Officer; and Ben Jackson, President.

I'll now turn the call over to Warren.

Warren Gardiner

Chief Financial Officer, Intercontinental Exchange, Inc.

Thanks, Katia. Good morning, everyone, and thank you for joining us today. I'll begin on slide 4 with some of the key highlights from our first quarter results. Adjusted earnings per share of \$1.41 was driven by net revenues of \$1.9 billion, including record Exchange revenues and record Fixed Income and Data Service revenues, which increased 12% year-over-year.

First quarter adjusted operating expenses totaled \$740 million, \$5 million below the low end of our guidance range, driven by timing of professional services fees and technology spend. This strong performance helped to drive an adjusted operating margin of 61% and a record adjusted operating income of \$1.2 billion.

Looking to the second quarter, we expect adjusted operating expenses to be in the range of \$763 million to \$773 million, with a sequential increase driven by the full quarter impact of 2023 merit increases as well as strategic investments in technology and growth initiatives across our business.

Now let's move to slide 5, where I'll provide an overview of the performance of our Exchange segment. First quarter net revenues totaled a record \$1.1 billion. Transaction revenues of \$739 million were driven in part by 15% growth in agricultural commodities and a 16% increase in our global natural gas business.

Importantly, open interest trends remain strong across futures and options as of the end of April, including 6% growth in global energy and 17% growth in ags. It's worth noting that on May 1, we implemented select price increases within our energy business, capturing a portion of the substantial value we have brought to the asset class over the last decade through both continuous product innovation and technology enhancements.

Depending on the mix of volumes, we would expect a benefit to our energy RPC beginning with the second quarter. Recurring revenues, which include our Exchange data services and our NYC Listings business, increased by 5% year-over-year, including 8% growth in Exchange data services, which was in part driven by double-digit growth and a number of customers consuming our global energy and environmental data.

This was partially offset by slower growth in our listings business, where industry-wide capital markets activity continued to be relatively muted. It's worth noting that despite the current environment, the IPO backlog continues to grow, and another eight companies elected to transfer to the NYSE through April, building on a record year for transfers in 2022.

Turning now to slide 6. I'll discuss our Fixed Income and Data Services segment. First quarter revenues totaled a record \$563 million, up 12% versus a year ago. Transaction revenues increased by 54%, including 106% growth in ICE bonds and 42% growth in our CDS Clearing business.

Similar to last quarter, this strong growth was driven by market volatility, higher interest rates and our continued efforts to build institutional connectivity to our bond platforms. Excluding the impact of the Euronext migration, recurring revenues grew by 4%, driven by additional capacity on the ICE Global Network as well as strong growth across our analytics and desktop offerings, with strong demand from energy- and environmental-focused customers.

This performance is a key driver of our other data and network services business, which increased by 8% in the first quarter and 10%, excluding the impact of Euronext. Similar to last quarter, we experienced an extended sales cycle within our end-of-day pricing business as well as pressure in asset-based revenues in our Index business, which declined year-over-year as investors shifted out of higher fee risk assets in 2022, such as equities and corporate bonds, and into munis and treasury ETFs.

Let's go to slide 7, where I'll discuss our Mortgage Technology segment. First quarter Mortgage Technology revenues totaled \$236 million. Recurring revenues, which accounted for nearly 70% of segment revenues, totaled \$165 million and grew 6% year-over-year. These strong recurring revenues continued to help drive outperformance versus an industry that experienced a nearly 60% decline in origination volumes.

While nearly two-thirds of our Encompass customers that came up for renewal during the quarter did so at higher minimums, helping to drive year-over-year and sequential growth in recurring revenues, it was somewhat offset by increased pressure from customers electing to renew at lower levels.

Importantly, the vast majority of these customers remain on the Encompass and ICE Mortgage Technology platform. While we expect to continue to outperform the industry, if current cyclical conditions persist, we would expect recurring revenues to be towards the lower end of our mid- to high single-digit guidance range for the year.

These same cyclical conditions and cost pressures are also increasingly attracting customers that have not traditionally been on the Encompass platform. This is best evidenced by our first signing of a top five global bank during the quarter, electing to replace their legacy in-house loan origination technology.

While not expected to impact 2023 recurring revenues, that's helped to drive the best quarter for new sales of Encompass in the product's history and is a clear testament to the increasing need for workflow efficiencies and another example of the synergy opportunities that exist for ICE across the mortgage industry.

In summary, we delivered another quarter of revenue, operating income and free cash flow growth. We continue to make strategic investments across our business and future profitable growth opportunities, and we are well positioned to meet the evolving needs of our customers and create value for our shareholders.

I'll be happy to take questions during Q&A. But for now, I'll hand it over to Ben.

Benjamin R. Jackson*President & Chair-ICE Mortgage Technology, Intercontinental Exchange, Inc.*

Thank you, Warren, and thank you all for joining us this morning. Please turn to slide 8. Amidst a very dynamic macro environment, including a shock to the banking sector, our customers continue to rely on our leading technology, mission-critical data and transparent and accessible markets to navigate these uncertain conditions. This contributed to our all-time highest single-volume day of 14.5 million contracts across our markets on March 13.

Along with this, we also achieved record options volumes across our commodities in the quarter, up 21% year-over-year. As seen historically, options contracts are an efficient and valuable tool in highly uncertain market conditions.

In our interest rate markets, central bank activity and banking concerns led to increased hedging activity driving 18% volume growth in the first quarter. This growth was underpinned by a 25% volume increase in our Euribor contract, including record futures volumes. We also had a record volumes in our SONIA contract, up 12% year-over-year. This strong performance is a testament to the strength of our multicurrency multi-benchmark offering across interest rates.

Across our global energy markets, how energy is produced and consumed has evolved rapidly. Importantly, we have continuously invested alongside this evolution, building a global platform that today is one of the most diverse and liquid energy marketplaces in the world. This platform has established benchmarks in emerging markets across every source of energy.

And with record energy options in the first quarter up 21% year-over-year and energy open interest up 6% through the end of April, we are pleased that our customers continue to turn to our deep liquid market to manage their risk.

In our oil markets, we've invested in building a global platform that positions us well to provide the critical price transparency across the energy spectrum that will enable participants to navigate the clean energy transition.

Today, the resilience and liquidity of ICE's Brent benchmark has surpassed other oil benchmarks in both volume and open interest and, at the same time, reached an all-time high in options market share. This demonstrates that the market depends on the Brent benchmark's ability to reflect global fundamentals.

Importantly, Brent stands as the cornerstone of a franchise spanning key price benchmarks across Gasoil; WTI; Platts Dubai; and more recently, Murban. Together, these benchmarks form the foundation of a cohesive web of more than 700 related oil products, such as locational, product and refining spreads.

In the last few years, we've also invested in biofuels and renewable oil products such as RINs, RVOs, biofuels and low-carbon fuel standard products. And while small today, we see positive signs that these will become meaningful contributors in the future.

Importantly, driven by the breadth of our commercial customer base, we have become the natural home for liquidity in these products, with open interest in our oil complex up 5% year-over-year through the end of April.

In our natural gas markets, we've adopted a similar playbook, building a global platform that spans benchmarks across North America, Europe and Asia, a thoughtful approach that positions us well to benefit from both the near-term volatility and the long-term secular growth trends occurring across these markets. This has also helped

us drive a 10% increase in global gas volumes in the first quarter. This includes a 14% growth in our North American gas business, which not only benefited from continued commercial engagement in our Henry Hub contract, but also our North American basis markets.

In our environmental markets, we recognize the importance of carbon price transparency over 10 years ago, acquiring the Climate Exchange in 2010. As we look out over the longer term, corporates and market participants remain committed to environmental policy to reduce carbon emissions, as illustrated by a record number of market participants in the quarter up 7% year-over-year.

In summary, as the clean energy transition continues to introduce new complexities, uncertainties and volatility to energy markets, our global environmental markets, alongside our global oil, gas and power markets, provide the critical price transparency that will enable participants to navigate this evolution.

Moving to our Fixed Income and Data Services business. Our comprehensive platform continued to generate compounding revenue growth and delivered another quarter of record revenues, up 12% year-over-year. This strong growth was underpinned by both recurring and transaction revenues, a testament to the strategic diversification of our business model and our ability to deliver growth through an array of macroeconomic environments.

Rising market uncertainty and interest rates as well as continued efforts to build institutional connectivity to our bonds platforms provided significant tailwinds for ICE bonds, which was up over 100% year-over-year. We're also beginning to see return on the investments we've made in both enhanced content and functionality across our other data and network services business.

This part of our business increased 8% in the first quarter, driven by demand for additional capacity on the ICE Global Network, our private cloud, as well as strong growth across our analytics and desktop offerings.

As we move forward, there is a significant opportunity to continue to expand and evolve the products and services within our Fixed Income and Data Services business. From the digitization of fixed income workflow to the innovations we bring to connectivity and market data, ICE is well positioned for long-term success and growth.

Turning now to our Mortgage business. In the first quarter, we once again outperformed the broader industry driven by strong recurring revenues up 6% year-over-year. This continued outperformance is a result of executing against our strategy of leveraging our technology and data expertise to accelerate the analog-to-digital conversion happening in the industry.

Part of that strategy is intentionally shifting more business to recurring revenue, particularly within our origination technology and data and analytics business. While still in the early days of this transition, we continue to see strong client adoption.

Importantly, as customers increasingly seek efficiencies across a very manual process, our leading origination technology, known as Encompass, provides valuable digital solutions that can reduce both the time and cost required to originate a loan. We are pleased to see the value of our offering continues to resonate with lenders, and this is highlighted by the fact that we had record new sales in our Encompass offering in the first quarter, and the sales success included, for the first time, a top five global bank, electing to replace their legacy in-house loan origination technology for their retail business.

This is a testament to the trust and strong relationships ICE has established with our customers since our founding. Additionally, the recent exit of the largest correspondent lender in the country that was not on Encompass presents opportunities for lenders that are on Encompass.

This focus on automation and efficiencies also contributed to a 10% growth in our data and analytics business. Through our AIQ offering, customers can leverage our analytics such as our credit and income analyzers as well as leverage our automated document recognition and data extraction technology to reduce the manual stare-and-compare work that exists across the mortgage workflow today.

This automation could save lenders thousands of dollars per loan by reducing manufacturing time and complexity. The continued growth in our recurring revenues is a testament to the demand we're seeing for these digital solutions. As these new customers come on to our network, we benefit from new subscription revenues and have the opportunity to expand the customer relationship over time as they adopt additional solutions.

Just as we've seen in our other markets, this flywheel effect is what we believe will drive compounding growth in our recurring revenues and gives us confidence that we can grow a business that today is only a fraction of the \$10 billion addressable market that is in the early days of an analog-to-digital conversion.

With that, I'll now turn the call over to Jeff.

Jeffrey Craig Sprecher

Chair & Chief Executive Officer, Intercontinental Exchange, Inc.

Thank you, Ben, and good morning, everyone. Thank you for joining us. Please turn to slide 9. I'll begin by touching on our pending acquisition of Black Knight. Since the initial announcement in May of 2022, ICE has remained unwavering in its belief and commitment to the combination of our companies.

In March, we announced revised terms of our merger agreement to acquire Black Knight at \$75 per share or a market value of \$11.7 billion from our previous terms of \$85 per share. Black Knight's shareholders approved this revised deal last week. In addition, and although ICE strongly believes that acquiring Black Knight is entirely pro-competitive, we also announced an agreement to sell Black Knight's Empower loan origination system, plus certain related businesses to Constellation Software Inc.

We did this in order to remove a perceived horizontal competition concern. The divestiture transaction is subject to the closing of ICE's acquisition of Black Knight and other customary closing conditions.

ICE and Black Knight intend to defend the pro-consumer merits of our revised merger in Federal District Court. A scheduling hearing is scheduled to take place on May 12 to establish the timetable for this process. After which time, we'll have a better ability to discuss the calendar for deal completion.

We're unable to answer any questions on this call relating to our transaction with Black Knight. We remain fully confident in our position, and we look forward to presenting it in Court. Importantly, we're very excited about the value and the efficiencies that the combined entities will bring to the end consumer as well as other stakeholders across the mortgage ecosystem.

Shifting to our strong results. The first quarter was highlighted by record adjusted operating results. That include continued compounding recurring revenue growth across all three business segments, along with record revenues in our Exchange and Fixed Income and Data Services businesses. Remarkably, we did this against last

year's exceptional first quarter with its unprecedented volatility, driven largely by the onset of conflict in the Ukraine.

These strong first quarter results are a testament to the value of our data and technology and the strength of our strategic business model. Over the past 20 years, ICE has continually evolved to meet the needs of our customers, resulting in value for our stockholders. Our evolution has been intentional, diversifying across asset classes and geographies and increasing our mix of recurring revenues.

The compounding growth of our subscription-based services, combined with our diverse transaction-based businesses, means that our growth is not tied to one economic cycle, to one geography or to one asset class. This provides upside exposure while hedging our downside risk.

Looking to the balance of the year and beyond, we're excited about the many growth opportunities that are in front of us, and we remain focused on delivering innovative solutions for our customers while driving compounding growth for our stockholders.

Before I end my prepared remarks, I'd like to say thank you to our customers for their continued business and for their trust. And I'd like to say, thank you to my colleagues at ICE for their contributions to another good quarter.

And with that, I'll turn the call now back to our moderator, Lauren, and we'll conduct the question-and-answer session until 9:30 Eastern Time.

QUESTION AND ANSWER SECTION

Operator: Thank you [Operator Instructions] Our first question comes from Rich Repetto from Piper Sandler. Rich, please go ahead.

Richard Henry Repetto

Analyst, Piper Sandler & Co.

Q

Hi, good morning, Jeff and Ben and Warren, congrats on the second best revenue and EPS quarter in the company's history. So I'd like to go back to the origin. Being energy, I know, Ben, you spent a lot of time on it, but still the quarter-over-quarter – or excuse me, the comparisons compared to the second quarter of last year improved dramatically for you. They're down 20% last second quarter versus the first quarter.

So, I guess the question is, Ben – and you just put in a price increase, is what could derail the strong – looking more out at the just energy market overall, we know what you're doing with options and the open interest. But what's the outlook for volumes? And what could derail this positive setup you get for the remainder of the year here, what looks like a positive setup.

Benjamin R. Jackson

President & Chair-ICE Mortgage Technology, Intercontinental Exchange, Inc.

A

Thanks, Rich, and hey, this is Ben. Thanks for the questions and the commentary there. Simply said, the setup couldn't be better for the balance of this year. When we look at the health of our overall markets, I mean, we've – as you alluded to in your comments, we've built this business with a long lens and a view towards what customers' risk management needs are across the entire energy spectrum, including helping to help our clients navigate to a cleaner energy world and through our environmental markets that we've invested heavily in.

And the setup just couldn't be better. I mean, if you look at – right now, we're at or near an average daily volume market share high against any of our peers in crude and in oil. We're at or near, open interest, market share highs in North American gas and global gas. We're at or near, revenue share highs in energy. We had record energy options volume in Q1, posted an all-time high for Brent versus WTI options share versus our peers. We had record active market participation in our environmental markets and our TTF gas, as well as we are at or near, records and data subscribers in several markets.

And this positioning also is underpinning our ability, as Warren said in his prepared remarks, around the growth in our desktops business and energy and environmentals. Yes, we have this flywheel effect where we're also seeing some nice growth in our Fixed Income and Data Services business in this area.

So why are we seeing all this? Last year, you had the war in Ukraine. This unfortunate war that created all these supply shocks across European Energy markets, created a very difficult trading environment. We continue to look at the health of the market by active market participation and market data subscribers, and we didn't see that shrink.

In fact, we saw it grow. And look at where we are today with US, for example, US oil and LNG backfilling a lot of the supplies that have been cut off from Russia, we're starting to see the market normalize. And that has driven, since the end of the year, TTF open interest growth, up 40% since year-end.

Gasoil has come roaring back now that gas – it's clear that Russian oil is not going to be in Gasoil deliveries as of the beginning of this year. That's up over 30% since year-end. Energy options are up close to 20%. Our Brent benchmark is doing very well, up 18% since the end of this year. And now you have WTI Midland grade oil coming into Brent this summer, mostly priced by our Midland WTI American Gulf Coast contract. We're well positioned there.

And then the other market that we saw that had some headwinds last year was our EUA markets, our European Union Allowance markets. Because there was so much time, attention and capital being put towards energy, we saw that come back strong, with average daily volume up 18% Q1 versus Q4, and there's, long-term secular growth drivers for that EUA business, where there's roughly 4 gigatons of carbon emissions that are emitted in Europe.

Today, about 1.5 gigatons of those carbon emissions are priced by compliance markets based on policies that are in place. And over the next few years, as a new program called Fit for 55 comes into place, another 1.5 gigatons will be priced as roads, buildings and maritime sectors of the economy start to get pulled into this, which is all a long-term secular growth driver for that. So we feel very, very well set up for the balance of the year and beyond.

Richard Henry Repetto

Analyst, Piper Sandler & Co.

Okay. Thank you very much, Ben and the team.

Operator: Thank you. Our next question comes from Kyle Voight from KBW. Kyle, please go ahead.

Kyle Voigt

Analyst, Keefe, Bruyette & Woods, Inc.

Hi. Good morning. You noted the top five global bank win replaced their in-house solutions with Encompass. I guess, is there any way to frame the revenue upside or the potential revenue upside from that contract? And then in terms of kind of Tier 1-sized banks, do you think getting this signing could kind of open the door to other opportunities of this size? And if you comment on the pipeline from kind of that client segment of the larger banks. Thank you.

Benjamin R. Jackson

President & Chair-ICE Mortgage Technology, Intercontinental Exchange, Inc.

A

Thanks, Kyle. This is Ben. So if you remember last quarter, I had highlighted that the fourth quarter of 2022 was the strongest sales in terms of new sales to new Encompass customers of all of 2022. And then we followed it up with Q1 of this year being the strongest new sales of Encompass to new customers of all time. So we feel great about really the hypothesis that we had when we, a few years ago, bought the Ellie Mae business, that you had a lot of banks that had aging in-house infrastructure that they were trying to support.

And we felt that, that replacement cycle was going to be coming up, as that's the main competitor that we have in the Encompass marketplaces is in-house legacy infrastructure. And as we've seen that funnel develop, I alluded to it on the first – on our last call that we saw a strong funnel of these types of banks that we're talking to and engaged with and talking about the benefits that Encompass can provide them. And lo and behold, we brought on board one of the biggest global banks onto the platform here in the first quarter.

So we – these customers, I need to point out, are large. They're complex businesses. It's going to take time to implement them. So in terms of timing and when we'll see revenue contribution, it's more likely going to start to come in, in 2024. But again, we believe that based on the hypothesis that we had, that clients are going to be replacing this in-house infrastructure as well as the relationships that ICE has established, the long-term relationships that we've established since our founding, being a trusted technology and infrastructure provider for financial institutions like this that we're very well positioned to win this business as other banks look at making the same decisions.

Kyle Voigt

Analyst, Keefe, Bruyette & Woods, Inc.

Q

Thanks, Ben.

Operator: Thank you. Our next question comes from Alex Kramm from UBS. Alex, please go ahead.

Alex Kramm

Analyst, UBS Securities LLC

Q

Yeah. Hey, guys. Good morning. Just going back to energy for a second and being more specific here. You mentioned the pricing increase. Maybe I missed it. Obviously, we can look at your disclosures in terms of the fee schedule, but there's a lot of mix here. So, maybe on a like-for-like basis, maybe look at 1Q volume mix, like how much would the pricing changes actually impact the RPC or revenue?

Warren Gardiner

Chief Financial Officer, Intercontinental Exchange, Inc.

A

Hey, Alex. This is Warren. So good question. So I'd expect a few pennies of impact, all else equal. What we did there was we touched a handful of products within energy. And so when I say a few pennies, I'm talking about the energy RPC overall, of course. And so we touched a handful of contracts within the broader energy complex. We have – this is something we haven't done, in some cases, decades; in other cases, ever.

As you know, our philosophy is really to take the approach of where we created value for our customers and then over time go capture some of that value. And so we felt like this was a good opportunity given the backdrop to do that in some of these contracts, and that's what you're seeing there.

And so, look, we've done that in the past. We're always looking to do that, and we'll continue to look for those opportunities, not only within futures, but really across the business and taking that same philosophy as we go forward here. So hopefully, that's helpful in terms of thinking about the impact.

Alex Kramm

Analyst, UBS Securities LLC

You can't put it in percentage terms, can you? Or could you?

Warren Gardiner

Chief Financial Officer, Intercontinental Exchange, Inc.

Well, I would just say, look, you know the energy RPC was about \$1.60 in the quarter. I'd say a few pennies on top of that, that should help you in terms of thinking about the impact.

Alex Kramm

Analyst, UBS Securities LLC

Just looking for exact math, but good enough. Thank you.

Operator: Thank you. Our next question comes from Dan Fannon from Jefferies. Dan, please go ahead.

Daniel T. Fannon

Analyst, Jefferies LLC

Thanks. Good morning. So I guess another question for you, Warren. You talked about strategic investments, and that's part of the pickup sequentially and was hoping you could just frame where those investments are going in this year, kind of projects and/or products? And then if the environment isn't as constructive as we think about the back half of the year, is there some flex to maybe remove or reduce spend across the expense base?

Warren Gardiner

Chief Financial Officer, Intercontinental Exchange, Inc.

Yeah, it's a good question. So in terms of some of the investments we're making, we're making those across technology. We're also making some select hires in certain areas, particularly areas within some of our data products, new data sets, ESG, indices. We're expanding some of the opportunities we have within the connectivity business. So it's fairly broad-based in terms of those investments we're making. And that's all part of the plan, if you will, or the budget when we entered the year. We talked a little bit or I talked a little bit earlier about in my prepared remarks about how so we did have some expenses push into the second quarter. So we're, as I'm noting now, we're going to continue to make those investments, and we're on plan to do that.

Look, over time, of course, and the goal every year is to grow, both in the near and the long term. And to do that, we've got to make investments in the business, particularly if we're going to grow into the future. And that's what we're going to – that's what we're doing here, and that's what you should expect us to continue to do. And that's – frankly, that's the benefit of – that we have with a diversified model we had not only across asset classes, but also

the mix of subscription that tends to be a little more resilient and then as well as on the diversified transaction front.

So that's what we'll do. And I think, look, as we're thinking about how things trend to the balance of the year, look, we're a company that's run pretty efficiently. We had operating margins of 61% in the quarter. That's been a philosophy that we've had to operate that way and look to run the business efficiently, both in good times and bad times or tough times. And so I don't think you should expect us to really be changing how we're thinking about that. And so, we're going to make those investments.

And to the extent we needed to pull back, we will think about that. But I think it would have to be more of a structural change in some of the asset classes that we're in than anything cyclical because, again, we want to drive long-term growth. And there's no reason for us sitting here today to do that because we're not seeing that at the moment.

Daniel T. Fannon

Analyst, Jefferies LLC

Q

Great. Thank you.

Operator: Thank you. Our next question comes from Andrew Bond from Rosenblatt Securities. Andrew, please go ahead.

Andrew Bond

Analyst, Rosenblatt Securities, Inc.

Q

Hey, good morning. I just wanted to ask if there's been any change to your thoughts on ICE's strategy in the digital asset space in recent months as other traditional exchanges become more active? And given the impact of the current banking crisis in other countries where ICE has already worked with regulators stepping up their efforts to really become crypto hub while the US sales are – falls behind. And additionally, do you think the US government and regulators are making a mistake by not being more proactive in providing thoughtful regulatory clarity on space? Thanks.

Jeffrey Craig Sprecher

Chair & Chief Executive Officer, Intercontinental Exchange, Inc.

A

This is Jeff. So we sort of have our foot in two places with respect to digital assets. First of all, we created Bakkt and then spun it out as its own public company. And while I can't speak for Bakkt management, the philosophy that we put into the company at the time of the spin was to be highly regulated, in other words, to get 50 state money transmitter licenses and set up a custodial banking practice under the New York banking regulations. And so from the onset, I would say to you, we had the philosophy that anything we did around digital assets should be – should comport to existing regulation.

We own and operate the world's largest exchange, the New York Stock Exchange, 350 billion transactions a day. And we have the infrastructure to list digital assets. It is different than a lot of the entrepreneurs in the digital space, in that a requirement of a US Securities Exchange is that its members have to be licensed broker dealers.

So there is no such thing as NYSE direct. It's not that we couldn't build NYSE direct. It's not that we don't have relationships with end users, but the laws says that end users need to come through broker-dealers who provide KYC and AML oversight to the market.

And so, so far, that model hasn't been one that the market has been interested in. But our ability to list the digital asset is actually quite easy. It's obviously a token and registering on a public blockchain is actually relatively simple, given the complexity of the infrastructure that we are used to operating.

So, we'll see how this unfolds. It does appear that the SEC and other regulators would prefer to use that traditional infrastructure for tokens in the United States. And a lot of their compliance activities seem to be focused on moving the existing market towards our model and the historical model. And to the extent that there's an appetite for us, it would be easy for us to list digital assets, and we obviously have the domain knowledge here having built Bakkt on how to operate in a public blockchain environment.

Andrew Bond

Analyst, Rosenblatt Securities, Inc.

Great. Thanks.

Q

Operator: Thank you. Our next question comes from Michael Cyprys from Morgan Stanley. Michael, please go ahead.

Michael J. Cyprys

Analyst, Morgan Stanley & Co. LLC

Great. Thank you. Good morning. So just a question on mortgage. I was hoping you could talk a little bit about where you guys are along the journey of digitizing the mortgage process. From eClosings to eNotes, it seems you have a lot of capabilities already in place maybe it's just about driving engagement from here. So maybe you could talk about what's left? What are some of the hurdles that you're facing? What are some of steps that you're taking to overcome those hurdles and to accelerate the push to digitize the marketplace? Thank you.

Q

Benjamin R. Jackson

President & Chair-ICE Mortgage Technology, Intercontinental Exchange, Inc.

Thanks, Michael. It's Ben. And the short answer to the question is, we have done a really good job of integrating the businesses that we've acquired over the last few years from MERS, to the Simplifile business, to then the Ellie Mae business really bringing together from the start of the origination process, all the way through to the electronic closing of the loan.

A

We have integrated those into a cohesive platform for our clients. And as you alluded to, we've stood up an electronic closing room for our clients to digitize the close. We have eNotes now as part of the Encompass document set native into the – into our loan origination system. So we're really set up well to be able to cross-sell the solution set into all of our clients.

And that's the thing that I think is most important for people to really – when they're thinking about the mortgage headwinds and the current conditions in the marketplace is – and then Warren mentioned this in his comments – in his prepared remarks, that we're not losing clients. And of the 6,000 lenders that are out there, we're providing some services to just about every one of them. 3,000 of those lenders are on our Encompass platform. So we're very, very well-positioned to now cross-sell these solutions to our clients.

So right now, what we've been really focused on is, and now that we've completed that, that integration is executing on the sales success that we've had. We've talked about the strong funnel that we've had and bringing new clients into the Encompass ecosystem.

I think the other thing to point out is, as you see some of the noise in our results, is for people to fully appreciate that when we have renewals that are coming through our process, just like we did last quarter, more than 60% of the clients that renewed, renewed at higher subscription fees than where they started at the beginning of that quarter.

What we're trading off for that is a per closed loan fee. We're lowering that to some degree, which is transaction revenue. So of the clients that did not renew at higher subscription, it perhaps went down in subscription. There the trade-off is consistently that we're raising the per closed loan fee on those clients, which means that as the market rebounds and returns, we have an opportunity to participate in the upside there.

So it's important that people see that, one, we're not losing customers; two, we're very well-positioned to cross-sell the entire digital solution suite that you alluded to in the way that you asked the question. And we're set up very well with that balance between transaction and subscription revenue, where if clients are in tough times and they need to reduce their subscriptions, we can participate in the upside in transaction revenue.

Jeffrey Craig Sprecher

Chair & Chief Executive Officer, Intercontinental Exchange, Inc.

A

And I'd – this is Jeff. I'd also tell you that one of the things we're seeing is much like it came out of the dotcom boom where there were thousands of tech companies, and that then really reduced down to a core group of companies that emerged as the largest companies in the United States today. And the reason is similar to the environment we're in today is that in tougher periods, like we're in right now with mortgage with – in a higher interest rate environment, clients are more apt to talk to us and listen to our pitch about changing their behavior, that they're looking for cost efficiencies.

A couple of years ago, when the market was at its peak in terms of transaction volume and everybody is busy in making money, it's actually hard in that environment to convince people to change their behavior. But our team has been really seeing a lot more success now in this environment with people focused on the new model that we're bringing, as Ben mentioned, a subscription SaaS-based model that has deep connectivity across the mortgage ecosystem that will allow them to save money and ultimately pass those lower costs on to consumers. And so it's actually a pretty good environment for us to try to advance a different model across the industry.

Michael J. Cyprys

Analyst, Morgan Stanley & Co. LLC

Q

Great. Thank you.

Operator: Thank you. Our next question comes from Craig Siegenthaler from Bank of America. Craig, please go ahead.

Craig Siegenthaler

Analyst, BofA Securities, Inc.

Q

Good morning, Jeff, Warren, hope everyone is doing well. My question is on disposition potential. ICE has always been pretty opportunistic in terms of buying businesses that make strategic sense and sometimes selling ones too. But are you looking at any businesses today that may not make strategic sense or a subscale or maybe would be even more valuable to another party?

And I'm partly thinking about your Fixed Income execution business, which you may view as subscale, but it's within a great fixed income franchise that's benefiting from both bond ETF adoption and the migration to e-trading.

Jeffrey Craig Sprecher*Chair & Chief Executive Officer, Intercontinental Exchange, Inc.*

A

That's a really good question, actually. I don't want to focus on specifically our Fixed Income business, but let me speak broadly. And the answer is yes. I feel like as a management team, we promise that we're going to deliver growth. And sometimes, we can do that by building new technologies, as we just talked about in mortgage, sometimes we do it by acquisition. And sometimes, it's better to do dispositions and reallocate the capital.

And I think through the history of this management team, we've not been afraid to spin businesses out. We've obviously acquired a lot of businesses, and we're good at integrating businesses. It's actually a pretty strong domain capability of this company. But we also are good at organizing businesses and spinning them out. Ben oversaw, along with some Black Knight people, the ability to put together their loan origination platform and take it to market. So we're not afraid to move businesses around if there's value there.

The other thing I would say to you is that if the market doesn't appreciate the overall footprint of ICE, if you as an investor and an investor advocate think that the sum of the parts would be better organized differently, then as a management team we should be open to that. We like actually running smaller, flatter businesses that have entrepreneurial bent to them. And so the complexity of being a large organization actually can sometimes frustrate that.

And so maybe unlike many management teams, we like being small and nimble. So a long-winded answer of saying, yeah, we look at everything, and we do meet routinely all the people on this call. We meet routinely to go through all of our business units and what our competitors are doing, what the landscape is and think about whether there are opportunities to organize differently.

Craig Siegenthaler*Analyst, BofA Securities, Inc.*

Q

Thank you, Jeff.

Operator: Thank you. [Operator Instructions] Our next question comes from Alex Kramm from UBS. Alex, please go ahead.

Alex Kramm*Analyst, UBS Securities LLC*

Q

Yes. Hey. Back so soon. Just a quick one on the Fixed Income and Data business. On the fixed income data, recurring revenues, in particular, I know there's a couple of moving pieces here for the flat growth year-over-year. But if you think thematically and you step back, right, fixed income markets are in a position of strength for the first time in, I don't know, 15 years or so? And people are getting excited about all these changes and flows into CDs. And whatever is happening out there that we haven't seen in so long, just thematically, I don't understand like why this is not helping the business more? Or do you think there's still some things going to come, because it just seems like there's been a period of underinvestment. And as fixed income managers now have more strength, I would assume that they're looking to modernize some of their solutions.

Warren Gardiner*Chief Financial Officer, Intercontinental Exchange, Inc.*

A

Hey, Alex. This is Warren. I think you made some really good points, and I would echo those. I think right now, though, in terms of our business and the customers that we're facing, they are still licking their wounds a little bit

from what was a pretty tough 2022. But as you're alluding to, there are some green shoots, if you will. I mean, you've had some good fixed income flows through now first couple of months of the year. I don't want to predict anything, but it kind of feels like at least relatively speaking, you've got some stabilization in interest rates.

And then – and as you said earlier, I mean, this all of a sudden becomes a pretty attractive asset class broadly speaking. And so, look, I think there are customers right now, and we've seen this. When I talk about sales cycle, things like net new fund growth and things like that, that's part of the slower sales cycle. That's a component of our growth. But as we just said and you said, too, like it seems like things are getting – are stabilizing a little bit, and then you've got a potentially very attractive asset class. So we're encouraged by that.

And I think as we look to the second half, we do have some easier compares to – that we're facing. And I think you pull that all together, it's all pretty encouraging. But also I think don't lose sight of what's going on in the rest of the data business that we talked about too. I mean, other data and network services, we had some really strong growth in our desktop business, up double digits. Our strong growth in our analytics business within that, in part driven by some of the commodity customers, that's also helping our Exchange data business. And so we've had some pretty good results, and that's the benefit of having some diversity across different types of solutions in different asset classes and helping to drive what overall for the segment was another good quarter of double-digit growth and margin expansion and again, sort of a testament to the – not only the all-weather nature of that particular segment, but really the business overall.

Alex Kramm

Analyst, UBS Securities LLC

Q

Okay. Fair enough. And then since we're in overtime, I'm going to squeeze one quick one in there for Ben. Ben, you mentioned the data and analytics in mortgage as a sign of – area of strength. But sequentially, that business was actually down a decent chunk. So I don't know if there's seasonality, but just making sure that people are not also trading down there or getting rid of some services that they've purchased in the past.

Benjamin R. Jackson

President & Chair-ICE Mortgage Technology, Intercontinental Exchange, Inc.

A

Thanks, Alex. So while you did allude – you alluded to the slowdown in the business, you got to look at it as well, though, it is up 10% against the market that's sequentially down 20% and year-over-year down 60%. So the backdrop is still tough. Historically, when you go back to when we bought the Ellie Mae business, this business was heavily transaction-oriented. So that's why if you look over time, each quarter, this – the results in this business has been a little bit volatile. Because we've been, just like on the origination side, we have made a concerted move to moving more and more customers towards subscription. In the fourth quarter and then again in the first quarter, we moved some pretty substantial customers that were on heavily transaction-oriented deals more towards subscription and gave up some transaction revenue to do so. So that's some of the noise that you saw in there.

But some of the tailwinds we have in this business, as well as in the spring of last year, we mentioned we won a major global bank in JPMorgan Chase coming on to our AIQ platform. And we have now implemented them, they're live, and we're going to start seeing revenue contribution from that, so there is – a nice tailwind there. We also, based on the interesting datasets that we have and the unique datasets that we have on our loan origination system.

We've recently been engaged by the CFPB and they have engaged us to help improve their average prime lending rates. So the lending rates that they put out to consumers that's the average to give them a benchmark of

am I getting a fair deal when we're underwriting alone. They've engaged us to help provide them our data to help improve that index. So we think that's just one of many examples of data offerings that we'll have in the future.

And the other thing I'd point to is that we're feeding a lot of our datasets into other parts of our business, like our ICE Data Services business, to improve our mortgage-backed securities pricing. And then we also launched those rate lock futures last year that we believe is a very interesting risk management tool to help with some of the basis risk that you have in the mortgage space when producing a mortgage, whether it's a long-term mortgage lock that you have or you have jumbo loans in your portfolio, you have pretty significant basis risk versus treasuries and the TBA market when doing that. And in April, we saw 11,000 contracts executed on those rate-lock futures. So there's a lot of green shoots there within data, and I think, you'll see that feed multiple different line items in the future as those develop.

Alex Kramm

Analyst, UBS Securities LLC

Right. Great. Thanks for the follow-ups.

Operator: Thank you. That is now the end of the Q&A session. We will now hand back over to Jeff Sprecher, Chair and CEO, for closing remarks.

Jeffrey Craig Sprecher

Chair & Chief Executive Officer, Intercontinental Exchange, Inc.

Well, let me thank you, Lauren, for being today's operator, and thank you all for joining us this morning. I want to also send out a special thank you to Rich Repetto of Piper Sandler. As many of you know, he dialed in very early this morning in order to open today's questioning, as he's done every quarter since our initial public offering in 2005. And we understand that Rich plans to move on to new opportunities this summer. So I represent everyone in the room when I say that we will miss hearing his thoughtful questions going forward. And Rich, I just want to say thank you for your commitment to following our company and our progress. And in your absence, please know that we're going to continue to strive to innovate for our customers and build an all-weather business model that will continue to grow. With that, have a great day, everyone. Thank you.

Operator: This concludes today's call. Thank you for joining. You may now disconnect your lines.

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